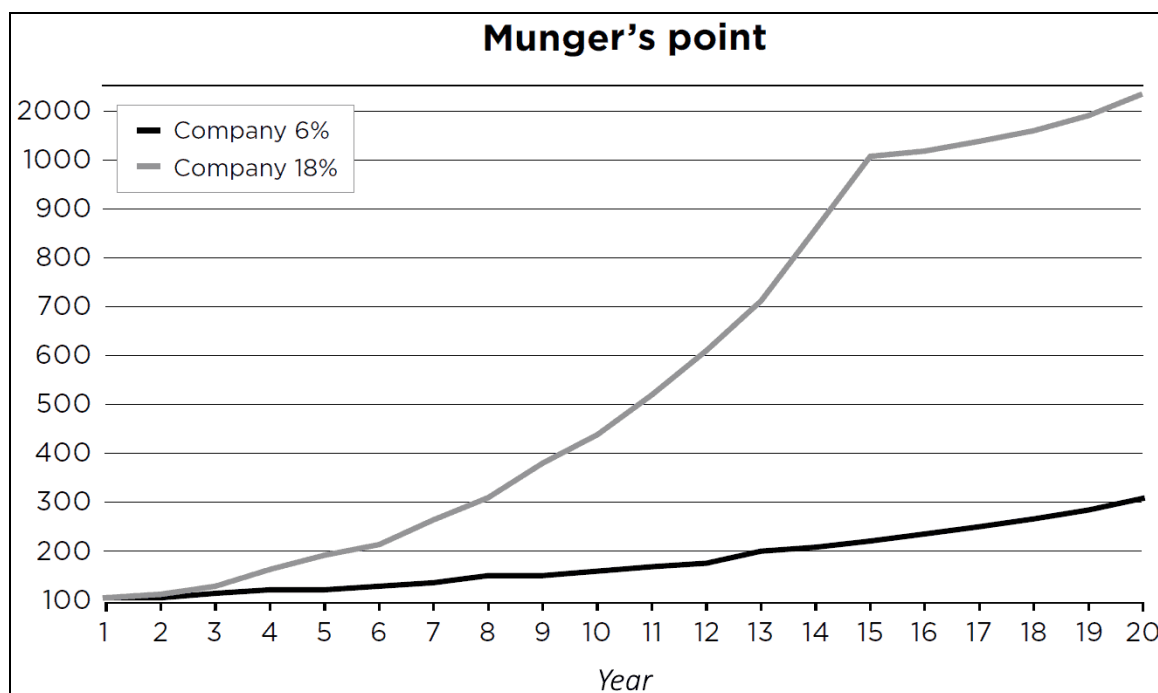


return than the business which underlies it earns. If the business earns 6% on capital over 40 years and you hold it for that 40 years, you're not going to make much different than a 6% return — even if you originally buy it at a huge discount. Conversely, if a business earns 18% on capital over 20 or 30 years, even if you pay an expensive looking price, you'll end up with a fine result.

“That quote is a cornerstone of a 100-bagger philosophy,” Goodman wrote. (And it's the second time we've referred to the quote in this book.) “We're looking for companies with very high returns on capital. That's one of the key requirements 100-baggers must meet. And this quote proves the point. Here's a table to breathe some life into Munger's comment.”

You can see how dramatically different a 6 percent return is from an 18 percent return.



At the end of 20 years, a company returning 18 percent on capital winds up with a pile nearly eight times larger. The lesson: don't miss out on the chance to acquire great businesses at fair prices, and you can clearly see why in this chart.

“One way to look at it is by using something called the PEG ratio,”